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Judge says FTC
investigation into Media
Matters ‘should alarm all
Americans’



A federal judge has granted a preliminary injunction blocking the Federal Trade Commission's investigation into left-leaning advocacy group Media Matters.

Back in 2023, Media Matters published research showing ads from major companies had appeared alongside antisemitic and other offensive content on Elon Musk's X. After major advertisers subsequently pulled back from the platform, [X sued Media Matters](#). It also [sued advertisers and advertiser groups](#) who were allegedly part of a systematic illegal boycott.

After Musk's then-ally Donald Trump took office again in January, the FTC also began an investigation into whether Media Matters had [illegally colluded with advertisers](#).

On Friday, however, Judge Sparkle L. Sooknanan sided with Media Matters and blocked the FTC's investigation. In [her decision](#), Sooknanan (a district court judge for the District of Columbia appointed by Joe Biden) wrote that the Media Matters article represented "quintessential First Amendment activity" and the FTC's "expansive" investigative demands appeared to be "a retaliatory act."

"It should alarm all Americans when the Government retaliates against individuals or organizations for engaging in constitutionally protected public debate," she wrote. "And that



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alarm should ring even louder when the Government retaliates against those engaged in newsgathering and reporting.”

Sooknanan noted that before his appointment as the current FTC chair, Andrew Ferguson had appeared on Steve Bannon’s podcast and called for the FTC to investigate progressive groups criticizing online disinformation, and that he subsequently “brought on several senior staffers at the FTC who previously made public comments about Media Matters.”

The FTC did not immediately respond to a TechCrunch email asking whether it intends to appeal.



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Regardless of the legal outcome, X’s lawsuits have already had a significant effect on the targeted organizations, with Media Matters cutting staff (one of the laid off researchers is now [running for Congress](#)), while the World Federation of

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Advertisers shut down its brand safety program and [reportedly complained of drained finances](#).

Sooknanan said the FTC investigation has also had its “intended effect,” prompting Media Matters to decide “against pursuing certain stories about the FTC, Chairman Ferguson, and Mr. Musk.”

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Anthony Ha



Anthony Ha is TechCrunch’s weekend editor. Previously, he worked as a tech reporter at Adweek, a senior editor at...

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Texas attorney general accuses Meta, Character.AI of misleading kids with mental health claims

Rebecca Bellan — 10:59 AM PDT · August 18, 2025

Texas attorney general Ken Paxton has launched an investigation into both Meta AI Studio and Character.AI for “potentially engaging in deceptive trade practices and misleadingly marketing themselves as mental health tools,” according to a [press release](#) issued Monday.

IMAGE CREDITS: GETTY IMAGES

“In today’s digital age, we must continue to fight to protect Texas kids from deceptive and exploitative technology,” Paxton is quoted as saying. “By posing as sources of emotional support, AI platforms can mislead vulnerable users, especially children, into believing they’re receiving legitimate mental health care. In reality, they’re often being fed recycled, generic responses engineered to align with harvested personal data and disguised as therapeutic advice.”

The probe comes a few days after [Senator Josh Hawley announced an investigation into Meta](#) following a report that found its AI chatbots were

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interacting inappropriately with children, including by flirting.

The Texas Attorney General’s office has accused Meta and [Character.AI](#) of creating AI personas that present as “professional therapeutic tools, despite lacking proper medical credentials or oversight.”

Among the millions of AI personas available on Character.AI, one user-created bot called [Psychologist](#) has seen high demand among the startup’s young users. Meanwhile, Meta doesn’t offer therapy bots for kids, but there’s nothing stopping children from using the Meta AI chatbot or one of the personas created by third parties for therapeutic purposes.

“We clearly label AIs, and to help people better understand their limitations, we include a disclaimer that responses are generated by AI — not people,” Meta spokesperson Ryan Daniels told TechCrunch. “These AIs aren’t licensed professionals and our models are designed to direct users to seek qualified medical or safety professionals when appropriate.”

However, TechCrunch noted that many children may not understand — or may simply ignore — such disclaimers. We have asked Meta what additional safeguards it takes to protect minors using its chatbots.



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For its part, Character includes prominent disclaimers in every chat to remind users that a “Character” is not a real person, and everything they say should be treated as fiction, according to a Character.AI spokesperson. She noted that the startup adds additional disclaimers when users create Characters with the words “psychologist,” “therapist,” or “doctor” to not rely on them for any type of professional advice.

In his statement, Paxton also observed that though AI chatbots assert confidentiality, their “terms of service reveal that user interactions are logged, tracked, and exploited for targeted advertising and algorithmic development, raising serious concerns about privacy violations, data abuse, and false advertising.”

According to [Meta’s privacy policy](#), Meta does collect prompts, feedback, and other interactions with AI chatbots and across Meta services to “improve AIs and related technology.” The policy doesn’t explicitly say anything about advertising, but it does state that information can be shared with third parties, like search engines, for “more personalized outputs.” Given Meta’s ad-based business model, this effectively translates to targeted advertising.

Character.AI’s [privacy policy](#) also highlights how the startup logs identifiers, demographics, location information, and more information about the user,

including browsing behavior and app usage platforms. It tracks users across ads on TikTok, YouTube, Reddit, Facebook, Instagram, and Discord, which it may link to a user's account. This information is used to train AI, tailor the service to personal preferences, and provide targeted advertising, including sharing data with advertisers and analytics providers.

A Character.AI spokesperson said the startup is “just beginning to explore targeted advertising on the platform” and that those explorations “have not involved using the content of chats on the platform.”

The spokesperson also confirmed that the same privacy policy applies to all users, even teenagers.

TechCrunch has asked Meta such tracking is done on children, too, and will update this story if we hear back.

Both Meta and Character say their services aren't designed for children under 13. That said, Meta has come under fire for failing to police accounts created by kids under 13, and Character's kid-friendly characters are clearly designed to attract younger users. The startup's CEO, Karandeep Anand, has even said that his [six-year-old daughter](#) uses the platform's chatbots under his supervision.

That type of data collection, targeted advertising, and algorithmic exploitation is exactly what legislation like KOSA (Kids Online Safety Act) is meant to protect against. KOSA was teed up to pass last year with strong bipartisan support, but it stalled after major pushback from tech industry lobbyists. Meta in particular deployed a formidable lobbying machine, warning lawmakers that the bill's broad mandates would undercut its business model.

[KOSA was reintroduced](#) to the Senate in May 2025
by Senators Marsha Blackburn (R-TN) and Richard
Blumenthal (D-CT)

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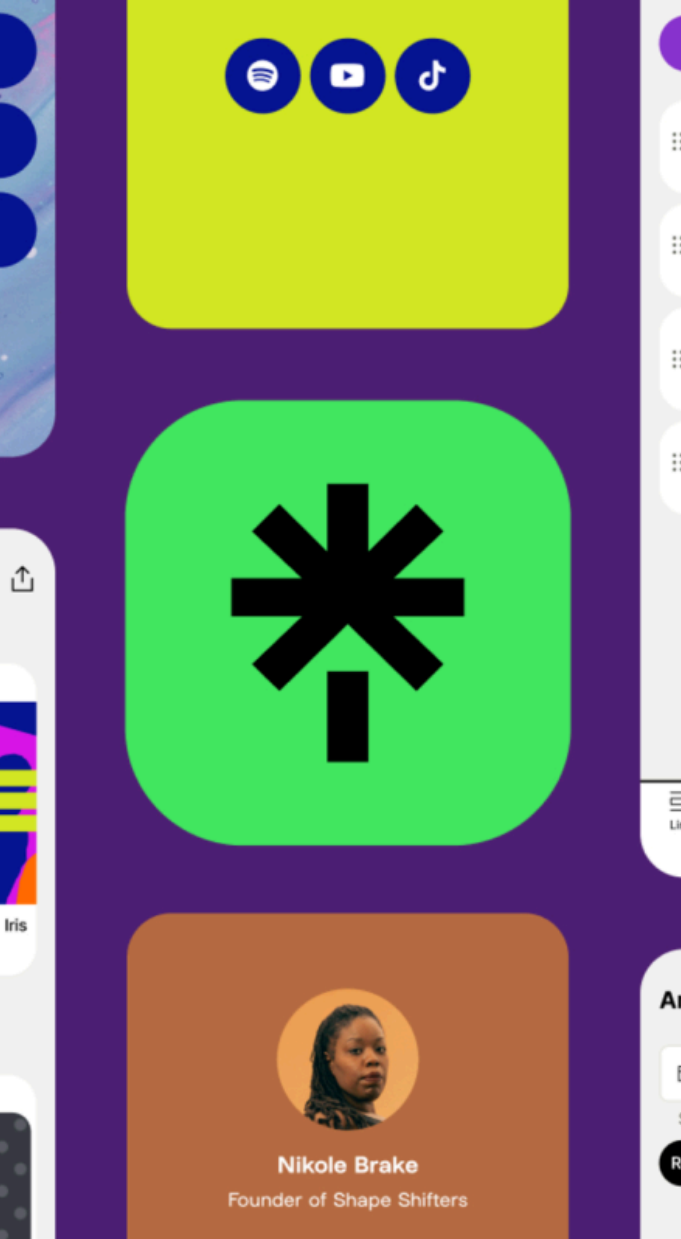


IMAGE CREDITS: LINKTREE

SOCIAL



Linktree goes dark in India — and the company isn't sure why

Jagmeet Singh — 7:46 AM PDT · August 18, 2025

[Linktree](#), the popular link-in-bio service used by millions of creators and businesses, has been inaccessible in India for several days — and its sudden disappearance from the Indian web remains a mystery, even to the Australian startup itself.

Over the past week, Linktree has been inaccessible in India, with a few users raising the issue on X. Initially, TechCrunch noticed that the site briefly displayed a message suggesting it had been blocked by the Indian government. Later, this was replaced by a generic SSL protocol error. The Linktree app has also been inaccessible in the country.

Founded in 2016, Linktree [became a unicorn in 2022](#) and [surpassed 50 million users](#) in 2024. India has been the platform's fifth-largest market by traffic, accounting for 3.5% of its global visits — or about 7.3 million in July, per Similarweb data shared with TechCrunch.

Linktree's monthly visits in India
(in millions)

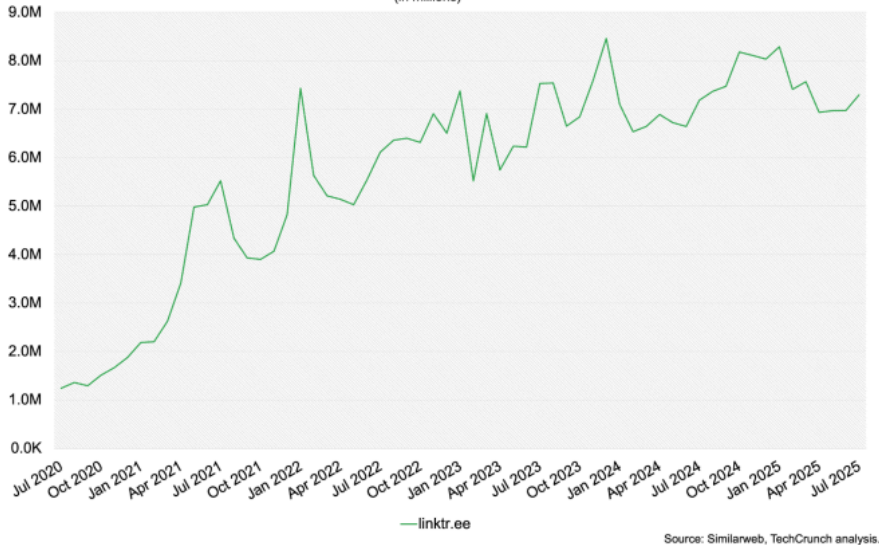


IMAGE CREDITS: JAGMEET SINGH / TECHCRUNCH

Linktree co-founder and CEO Alex Zaccaria told TechCrunch that the startup was looking into the situation. However, the executive did not confirm whether the startup received a communication from Indian authorities on its blockage.

The startup later [posted](#) on X that it was aware of the service outage in India and was “investigating” the issue.

As [reported](#) by the Indian daily The Hindu, the outage is not limited to a specific internet service provider and appears to affect all major networks.

The U.S. remains Linktree's top market, with 48.5 million visits, followed by Indonesia (32.3 million), Brazil (30.8 million), and the U.K. (9.4 million), Similarweb data shows.

India's IT and telecom ministries did not respond to emails sent over the weekend.



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Jagmeet covers startups, tech policy-related updates, and all other major tech-centric developments from India for...

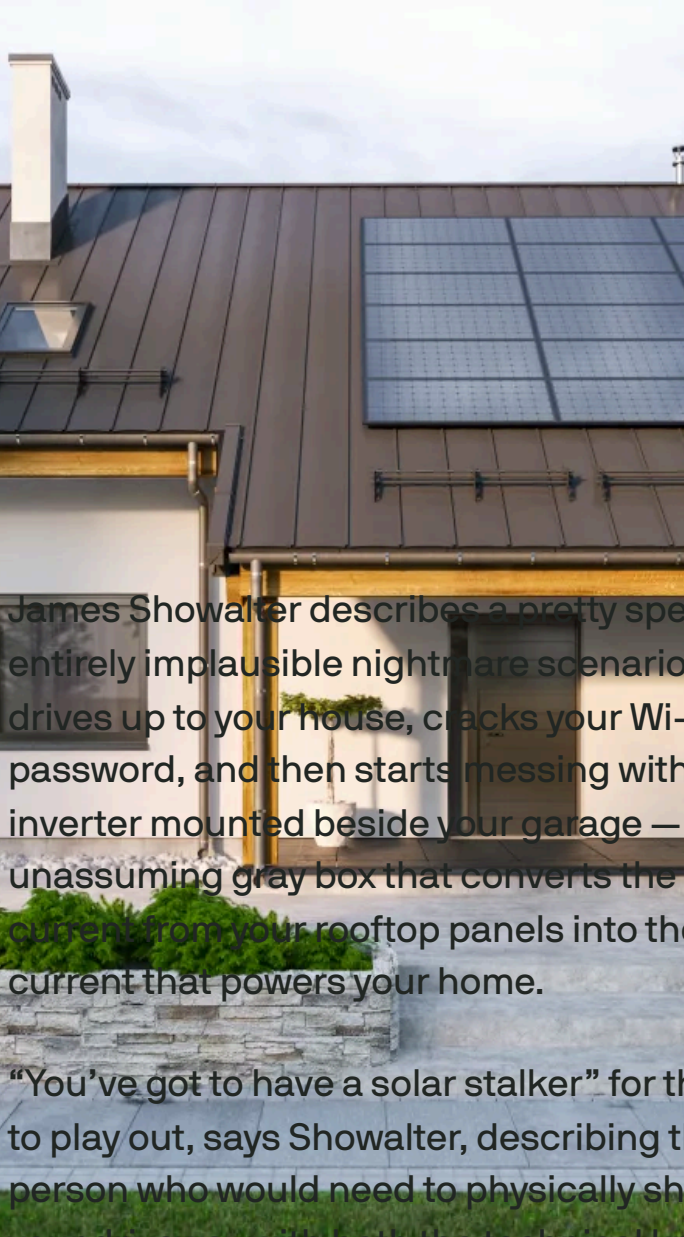
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How your solar rooftop
became a national
security issue



James Showalter describes a pretty specific if not entirely implausible nightmare scenario. Someone drives up to your house, cracks your Wi-Fi password, and then starts messing with the solar inverter mounted beside your garage — that unassuming gray box that converts the direct current from your rooftop panels into the alternating current that powers your home.

“You’ve got to have a solar stalker” for this scenario to play out, says Showalter, describing the kind of person who would need to physically show up in your driveway with both the technical know-how and the motivation to hack your home energy system.

IMAGE CREDITS: IMAGINIMA / GETTY IMAGES

Showalter, the CEO of [EG4 Electronics](#), a company based in Sulphur Springs, Texas, doesn’t consider this sequence of events particularly likely. Still, it’s why his company last week found itself in the spotlight when U.S. cybersecurity agency CISA [published an advisory](#) detailing security vulnerabilities in EG4’s solar inverters. The flaws, CISA noted, could allow an attacker with access to the same network as an affected inverter and its serial number to intercept data, install malicious firmware, or seize control of the whole system.

For the roughly 55,000 customers who own EG4’s affected inverter model, the episode probably felt like an unsettling introduction to a device that they



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little understand. What they're learning is that modern solar inverters aren't simple power converters anymore. They now serve as the backbone of home energy installations, monitoring performance, communicating with utility companies, and, when there's excess power, feeding it back into the grid.

Much of this has happened without people noticing. "Nobody knew what the hell a solar inverter was five years ago," observes Justin Pascale, a principal consultant at Dragos, a cybersecurity firm that specializes in industrial systems. "Now we're talking about it at the national and international level."

Security shortcomings and customers' complaints

Some of the numbers highlight the degree to which individual homes in the U.S. are becoming miniature power plants. According to the U.S. Energy Information Administration, small-scale solar installations — primarily residential — grew [more than fivefold](#) between 2014 and 2022. What was once the province of climate advocates and early adopters became more mainstream owing to falling costs, government incentives, and a growing awareness of climate change.

Each solar installation adds another node to an expanding network of interconnected devices, each one contributing to energy independence but also becoming a potential entry point for someone with malicious intent.

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When pressed about his company's security standards, Showalter acknowledges its shortcomings, but he also deflects. "This is not an EG4 problem," he says. "This is an industry-wide problem." Over a Zoom call and later, in this editor's inbox, he produced a [14-page report](#) cataloguing 88 solar energy vulnerability disclosures across commercial and residential applications since 2019.

Not all of his customers — some of whom [took to Reddit](#) to complain — are sympathetic, particularly given that CISA's advisory revealed fundamental design flaws: communication between monitoring applications and inverters that occurred in unencrypted plain text, firmware updates that lacked integrity checks, and rudimentary authentication procedures.

"These were fundamental security lapses," says one customer of the company, who asked to speak anonymously. "Adding insult to injury," continues this individual, "EG4 didn't even bother to notify me or offer suggested mitigations."

Asked why EG4 didn't alert customers straightaway when CISA reached out to the company, Showalter calls it a "live and learn" moment.

“Because we’re so close [to addressing CISA’s concerns] and it’s such a positive relationship with CISA, we were going to get to the ‘done’ button, and then advise people, so we’re not in the middle of the cake being baked,” says Showalter.

TechCrunch reached out to CISA earlier this week for more information; the agency has not responded. In its advisory about EG4, CISA states that “no known public exploitation specifically targeting these vulnerabilities has been reported to CISA at this time.”

Connections to China spark security concerns

While unrelated, the timing of EG4’s public relations crisis coincides with broader anxieties about the supply chain security of renewable energy equipment.

Earlier this year, U.S. energy officials reportedly began reassessing risks posed by devices made in China after discovering unexplained communication equipment inside some inverters and batteries. [According to a Reuters investigation](#), undocumented cellular radios and other communication devices were found in equipment from multiple Chinese suppliers — components that hadn’t appeared on official hardware lists.

This reported discovery carries particular weight given China’s dominance in solar manufacturing. That same Reuters story noted that Huawei is the world’s largest supplier of inverters, accounting for 29% of shipments globally in 2022, followed by Chinese peers Sungrow and Ginlong Solis. Some [200 GW of European solar power capacity](#) is linked to inverters made in China, which is roughly equivalent to more than 200 nuclear power plants.

The geopolitical implications haven't escaped notice. Lithuania last year [passed a law](#) blocking remote Chinese access to solar, wind, and battery installations above 100 kilowatts, effectively restricting the use of Chinese inverters. Showalter says his company is responding to customer concerns by similarly starting to move away from Chinese suppliers and toward components made by companies elsewhere, including in Germany.

But the vulnerabilities CISA described in EG4's systems raise questions that extend beyond any single company's practices or where it sources its components. The U.S. standards agency NIST [warns](#) that "if you remotely control a large enough number of home solar inverters, and do something nefarious at once, that could have catastrophic implications to the grid for a prolonged period of time."

The good news (if there is any), is that while theoretically possible, this scenario faces a lot of practical limitations.

Pascale, who works with utility-scale solar installations, notes that residential inverters serve primarily two functions: converting power from direct to alternating current, and facilitating the connection back to the grid. A mass attack would require compromising vast numbers of individual homes simultaneously. (Such attacks are not impossible but are more likely to involve targeting the manufacturers themselves, some of which have remote access to their customers' solar inverters, as [evidenced by security researchers last year](#).)

The regulatory framework that governs larger installations does not right now extend to residential systems. The North American Electric Reliability Corporation's Critical Infrastructure Protection standards [currently apply](#) only to larger facilities producing 75 megawatts or more, like solar farms.

Because residential installations fall so far below these thresholds, they operate in a regulatory gray zone where cybersecurity standards remain suggestions rather than requirements.

But the end result is that the security of thousands of small installations depends largely on the discretion of individual manufacturers that are operating in a regulatory vacuum.

On the issue of unencrypted data transmission, for example, which is one reason EG4 received that slap on the hand from CISA, Pascale notes that in utility-scale operational environments, plain text transmission is common and sometimes encouraged for network-monitoring purposes.

“When you look at encryption in an enterprise environment, it is not allowed,” he explains. “But when you look at an operational environment, most things are transmitted in plain text.”

Put another way, the real concern isn’t an immediate threat to individual homeowners. Instead it ties to the aggregate vulnerability of a rapidly expanding network. As the energy grid becomes increasingly distributed, with power flowing from millions of small sources rather than dozens of large ones, the attack surface expands exponentially. Each inverter represents a potential pressure point in a system that was never designed to accommodate this level of complexity.

Showalter has embraced CISA’s intervention as what he calls a “trust upgrade” — an opportunity to differentiate his company in a crowded market. He says that since June, EG4 has worked with the agency to address the identified vulnerabilities, reducing an initial list of 10 concerns to three remaining items that the company expects to resolve by October. The process has involved updating firmware transmission protocols,

implementing additional identity verification for technical support calls, and redesigning authentication procedures.

But for those like the anonymous EG4 customer who spoke with frustration about the company's response, the episode highlights the odd position that solar adopters find themselves in. They purchased what they understood to be climate-friendly tech, only to discover they'd become unwitting participants in a knotty cybersecurity landscape that few seem to fully comprehend.

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